

M/s Super Tannery Ltd. v. Madhyanchal Vidyut Vitran Nigam Ltd. — additional security under clause 4.20

High Court of Judicature at Allahabad · Division Bench · 4 August 2025 · 2025:AHC:131348-DB · Writ - C No. 9934 of 2014 · Writ dismissed following Dev Prayag; additional security demand not bad.

HEADNOTE

The Allahabad High Court dismissed a writ by M/s Super Tannery Ltd. seeking to quash Madhyanchal Vidyut Vitran Nigam Ltd.'s demand for additional security under paragraph 4.20 of the U.P. Electricity Supply Code, 2005. The Division Bench held that the issue stood concluded against the consumer by M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P. (Writ-C No. 30898 of 2016, 21 March 2017), which had held that a distribution licensee's demand of additional security is not bad, and dismissed the petition for the reasons given in that judgment.

FACTUAL SUMMARY

M/s Super Tannery Ltd. challenged Madhyanchal Vidyut Vitran Nigam Ltd.'s demand notice for additional security under paragraph 4.20 of the U.P. Electricity Supply Code, 2005. On 17 February 2014 the Allahabad High Court connected the writ with W.P. (C) No. 51884 of 2009 and, relying on an interim order in M/s Supreme Ceramics Limited (7 October 2009), stayed the additional-security demand. When the petition came up in 2025, counsel informed the Court that the same issue had been decided against the consumer in M/s Dev Prayag Paper Mill.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security

HOLDING

Following Dev Prayag Paper Mill, a distribution licensee's demand of additional security is not bad; a writ to quash a clause 4.20 additional-security demand notice is dismissed. ¶ 1

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P. & Ors. Writ-C No. 30898 of 2016, judgment dated 21 March 2017			court	Referred
M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd. and others Writ Petition No. 51844 of 2009, order dated 7.10.2009			petitioner	Referred